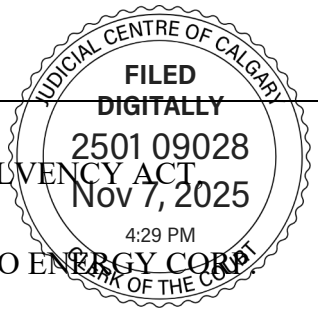
COURT FILE NUMBER	2501-09028
COURT	COURT OF KING'S BENCH OF ALBERTA
JUDICIAL CENTRE	CALGARY

Clerk's Stamp



IN THE MATTER OF THE BANKRUPTCY AND INSOLVENCY ACT,
RSC 1985, C B-3, AS AMENDED
AND IN THE MATTER OF THE RECEIVERSHIP OF CLEO ENERGY CORP.

APPLICANT	**UCAPITAL – ULOANS SOLUTIONS INC.**
RESPONDENT	**CLEO ENERGY CORP.**
DOCUMENT	**APPLICATION BY: HIS MAJESTY THE KING IN RIGHT OF CANADA AS REPRESENTED BY THE MINISTER OF NATIONAL REVENUE, CREDITOR**

ADDRESS FOR SERVICE AND CONTACT INFORMATION OF PARTY FILING THIS DOCUMENT	Department of Justice Canada 444, 7th Ave SW, 10th Floor Calgary, Alberta T2P 0X8 Attention: Amy Reperto / Tristen Cones Tel.: (403) 390-2672 / 403-461-4723 Fax: (403) 299-3507 Email: amy.reperto@justice.gc.ca / tristen.cones@justice.gc.ca File No.: LEX-500224254

NOTICE TO THE RESPONDENTS

This application is made against you. You are a respondent.

You have the right to state your side of this matter before the Court.

To do so, you must be in Court when the application is heard as shown below:

Date:	November 14, 2025
Time:	2:00 pm
Where:	Calgary Courts Centre
Before Whom:	The Honourable Justice M. H. Bourque

Go to the end of this document to see what you can do and when you must do it.

REMEDY CLAIMED OR SOUGHT:

1. An Order allocating the Receiver's Charge and Receiver's Borrowings Charge amongst the various assets comprising the Property.

2. An Order requiring the Receiver to pay to the Receiver General of Canada, from the proceeds of Cleo Energy Corp.'s ("**Cleo"**) assets, $899,907.51 in satisfaction of the unremitted GST held in trust by Cleo on behalf of His Majesty the King in Right of Canada as Represented by the Minister of National Revenue, (the "**Crown**"), himself as represented by the Canada Revenue Agency ("**CRA**").

3. Such further and other relief as this Honourable Court may deem just.

GROUNDS FOR MAKING THIS APPLICATION:

Background

4. The CRA has filed a $1,355,296.64 GST claim with the Receiver, of which $899,907.51 is subject to a statutory deemed trust.

5. The Receiver has already paid CRA's payroll deemed trust claim pursuant to subsection 227(4.1) of the *Income Tax Act*, RSC 1985 c 1 (5th Supp).

6. The First Report of the Receiver filed within this proceeding did not address payment of the CRA's GST deemed trust claim, nor have they paid it.

CRA's GST Deemed Trust in the Receivership Context

7. CRA's priority to the proceeds of sale of the assets of Cleo in respect of the GST deemed trust, pursuant to subsection 222(3) of the *Excise Tax Act*, has the same priority as the payroll deemed trust.

8. The GST deemed trust survives and applies in receivership proceedings unless and until the debtor is bankrupt (per subsection 222(1.1) of the *Excise Tax Act*).

9. Cleo is not bankrupt nor will it become bankrupt in these proceedings; therefore, the GST deemed trust remains operative.

10. CRA is entitled to be paid it's GST deemed trust amount of $899,907.51 from the sale proceeds before any funds are transferred.

Allocation of Receiver's Charge and Receiver's Borrowings Charge

11. According to paragraph 21 of the First Report of the Receiver, the June 2025 Transactions generated approximately $2.1 million in sales proceeds (the "**Sale Proceeds"**).

12. From the Sale Proceeds, the Receiver made payments of $1,295,342 (the "**Priority Payments**"), leaving approximately $804,658 in Sale Proceeds unallocated.

13. In addition to the Sale Proceeds, the Receiver also received $1,193,341 of Oil & Gas Revenue and $43,501 of other income (the "**Other Proceeds"**).

14. As of the First Receiver's Report, the Receiver had an ending cash balance of $990,788. After accounting for the Sale Proceeds not explicitly allocated, the Receiver retained $186,130 of the Other Proceeds.

15. As of the Second Receiver's Report, the Receiver retained an ending cash balance of $791,396 as of October 31, 2025.

16. If the Revised RVO transaction closes, the Receiver will also have the Purchase Price paid by the purchaser (the "**Purchase Proceeds"**), the amount of which is currently confidential.

17. The Receiver's election to make the Priority Payments from the Sale Proceeds, rather than exhausting the Other Proceeds and the Purchase Proceeds first limits the amount available to satisfy the CRA's GST deemed trust claim, while increasing the amount that will be available to transfer to ResidualCo. for the benefit of the unsecured creditors.

18. Given the nature of CRA's GST deemed trust claim and its priority over unsecured creditors, the Minister requests that this Court allocate the Priority Payments to be made first from the Other Proceeds, the Purchase Proceeds and then from the Sale Proceeds.

Material or evidence to be relied on:

19. The Affidavit of Debbie Mitchell affirmed on November 5, 2025.

20. The First Report of the Receiver dated October 6, 2025.

21. The Second Report of the Receiver dated November 5, 2025.

22. The Receivership Order dated June 2, 2025.

23. Such further and other materials as counsel may advise and this Honourable court may permit.

Applicable rules

24. The *Alberta Rules of Court*, Alta Reg. 124/2010 as amended.

25. *Bankruptcy and Insolvency General Rules*, CRC c 368.

26. Such other Rules as counsel may refer to or that this Honourable Court may permit.

Applicable Acts and regulations:

27. The *Bankruptcy and Insolvency Act,* RSC 1985, c. B-3, as amended.

28. The *Excise Tax Act*, RSC 1985, c E-15., s. 222(1), 222(3), 266(1), 270.

29. Such further and other Acts and Regulations as counsel may advise and this Honourable Court may permit.

Any irregularity complained of or objection relied on:

30. None.

How the application is proposed to be heard or considered:

31. On the Commercial List, via Webex (or in person) before the presiding Justice.

WARNING

If you do not come to Court either in person or by your lawyer, the Court may give the applicant what they want in your absence. You will be bound by any order that the Court makes. If you want to take part in this application, you or your lawyer must attend in Court on the date and at the time shown at the beginning of this form. If you intend to rely on an affidavit or other evidence when the application is heard or considered, you must reply by giving reasonable notice of the material to the applicant.